

# EXAMPLE CONVEYANCING CO LTD

## Anti-Money Laundering Policy & Procedures

Document Reference: **AML-POL-001**

Effective Date: **1 January 2024**

Author: **Jane Smith (MLRO)**

Version: **3.2**

Review Date: **1 January 2025**

Approved by: **Managing Partner**

### 1. Introduction and Scope

1.1 This policy sets out the procedures that Example Conveyancing Co Ltd ('the Firm') has established to prevent money laundering and terrorist financing in accordance with our obligations under the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (as amended).

1.2 The Firm is regulated by the Council for Licensed Conveyancers (CLC) and must comply with the CLC's Anti-Money Laundering Code and Guidance.

### 2. Customer Due Diligence

#### 2.1 Identity Verification

All clients must provide satisfactory evidence of identity before the Firm can act. Acceptable documents include a current valid passport, UK photo driving licence, or verification through an approved electronic ID system.

#### 2.2 Address Verification

Evidence of address must be obtained for all clients. Acceptable documents include:

2.3.2 Utility bills (gas, electricity, water, telephone) dated within the last 6 months; bank or building society statements dated within the last 3 months; council tax bill for the current year; mortgage statement.

### 3. Risk Assessment and Classification

#### 3.1 Practice-Wide Risk Assessment

The Firm maintains a Practice-Wide Risk Assessment (PWRA) which is reviewed annually and whenever there are material changes to the business or risk environment.

#### 3.2 Client Risk Classification

All clients must be assessed and classified according to risk level at the outset of each matter:

| Risk Factor                       | Classification | Due Diligence Required |
|-----------------------------------|----------------|------------------------|
| UK resident, standard transaction | STANDARD       | Standard CDD           |
| Client resident outside the UK    | HIGH           | Enhanced Due Diligence |
| PEP or family member/associate    | HIGH           | Enhanced Due Diligence |
| Transaction value over £1,000,000 | HIGH           | Enhanced Due Diligence |
| Cash element over £500,000        | MEDIUM-HIGH    | Enhanced Due Diligence |

3.2.1 Clients resident outside the UK shall be classified as HIGH RISK and subject to Enhanced Due Diligence regardless of nationality. This includes British nationals who are resident overseas.

## 4. Source of Funds and Source of Wealth

### 4.1 Bank Statement Requirements

Bank statements must be obtained to verify the source of funds for all transactions:

| Transaction Type / Risk Level          | Minimum Period Required |
|----------------------------------------|-------------------------|
| Standard residential purchase (<£500k) | 3 months                |
| High-value transaction (>£500k)        | 6 months                |
| Overseas client or high-risk matter    | 6 months                |
| Funds claimed to be from savings       | 6 months                |

4.1.1 For high-value transactions exceeding £500,000 or overseas clients, a minimum of 6 months bank statements must be obtained to evidence legitimate accumulation of funds.

### 4.3 Gifor Due Diligence

Where purchase funds include a gift from a third party, the gifor must be subject to appropriate due diligence including verification of identity, proof of address, and source of the gifted funds.

4.3.1 For gifts exceeding £10,000, self-declaration alone is not sufficient. Documentary evidence of the gifor's source of wealth must be obtained, such as pension statements, bank statements, or property sale completion statements.

## 5. Politically Exposed Persons (PEPs)

### 5.1 Screening Requirements

All clients and connected parties must be screened against PEP databases at matter opening. Screening must cover the client, any beneficial owners, and any giftors.

### 5.2 Enhanced Procedures

Where a client is identified as a PEP or connected to a PEP, Enhanced Due Diligence must be applied and senior management approval obtained before proceeding.

5.2.1 Best Practice: For clients working in financial services or in jurisdictions with elevated risk, additional checks are encouraged: employer background verification, role analysis, senior management PEP screening, and adverse media searches.

## 6. Record Keeping

6.1 All CDD documentation must be retained for a minimum of 5 years from the end of the business relationship or completion of the transaction, whichever is later.

Jane Smith, MLRO

Date: 15 January 2024